field towards some category of institutions and away from others, competition may not produce the most efficient outcome.

Banks in India have been subject to the grand bargain, whereby they get the benefits of raising low-cost insured deposits, liquidity support and close regulation by the central bank (I am sure some of you see this as a cost) in return for maintaining reserves with the central bank, holding government bonds to meet SLR requirements, and lending to the priority sector.

In addition, public sector banks are further subject to government mandates such as opening PMJDY accounts, or making MUDRA loans [*Author's note: These were loans to small and medium enterprises*]. They are also subject to hiring mandates, in particular the need to hire through open all-India exams rather than from specific campuses or from the local community, and to meet various government diversity mandates. In part compensation, public sector banks do get more government deposits and business, and are backed by the full faith and credit of the government. While it is unclear whether the cost of the mandates outweigh the benefits, they do skew the competitive landscape.

Authorities like the central bank and the government should, over the medium term, reduce the differences in regulatory treatment between public sector banks and private sector banks, and more generally, between banks and other financial institutions.

Some of the differences between public sector banks and private banks can be mitigated if the government pays an adequate price for mandates. If, for example, when every direct benefit transfer is paid a remunerative price, all banks have an incentive to undertake the business and open basic customer accounts. The most efficient bank will garner more business, and the payment can be gradually reduced over time, commensurate with the accrued efficiencies.